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June 2, 2026

Via Facsimile: (833) 958-1221

Acuity, A Mutual Insurance Company

ATTN: David B.

P.O. Box 58

Sheboygan, WI 53082

CONFIDENTIAL SETTLEMENT DEMAND PURSUANT TO TEX. R. EV.ID.408

Re: Your Insured: Melvin Louis Morrow
Our Client: Yudan Huang
Claim No: TD0976
Date of Loss: November 6, 2025

Dear David B.:

I am writing this letter on behalf of my client, Yudan Huang, for the injuries and damages she suffered as the result of a motor vehicle collision which occurred on November 6, 2025. We hereby send a demand for policy limits pursuant to the Stowers' Doctrine, such offer remaining open until **July 2, 2026.**

Liability is clear and undisputed. Ms. Huang was operating her vehicle in a lawful and prudent manner on November 6, 2025, when your insured, Melvin Louis Morrow, operating a large Mack truck, rear-ended Ms. Huang's vehicle with significant force. The investigating officer documented the collision in Police Report No. TD0976. **Your insured failed to maintain a safe following distance, failed to keep a proper lookout, and failed to control his vehicle — striking Ms. Huang from behind with a commercial Mack truck.**

On November 7, 2025, Ms. Huang presented to Plano Supreme Primary Care, where she was evaluated by Qian Su, NP, under the supervision of Dr. Yinghui Liu, M.D. She reported immediate onset of neck pain, low back pain, and headaches following the crash. Cervical and lumbar x-rays were taken, revealing mild degenerative disc disease at C5-6, facet arthropathy at C7-T1, degenerative disc disease at L4-5 and L5-S1, and lumbar facet arthropathy. Ms. Huang was

diagnosed with:

- Motor vehicle accident (ICD-10: V89.2XXA);
- Acute neck pain / cervical strain (ICD-10: M54.2);
- Low back pain / lumbar strain (ICD-10: M54.50); and
- Concussion without loss of consciousness (ICD-10: S06.0X0A).

She was prescribed Tizanidine HCl 2 mg for muscle spasm and referred for further diagnostic imaging and specialist evaluation.

On November 17, 2025, Ms. Huang began treatment at Momentum Spine & Joint with Dr. Zeshan Chaudhry, M.D. Follow-up care was provided by Dr. Kamlesh Sisodiya, M.D. on December 1, 2025 and January 21, 2026. The treating spine specialists reviewed her MRI findings and confirmed traumatic cervical and lumbar disc herniations. They prescribed Lidocaine 5% topical patches and Meloxicam 7.5 mg for pain and inflammation management.

The Cervical MRI revealed:

1. At C5-C6: Grade 1 retrolisthesis with a 2.2 mm posterior disc herniation encroaching on the anterior thecal sac.

The Lumbar MRI revealed:

1. At L3-L4: 1.5 mm posterior disc herniation.
2. At L4-L5: 2.2 mm posterior disc herniation with thecal sac impression.

These MRI findings confirm objective, structural disc injuries at multiple cervical and lumbar levels — injuries consistent with and caused by the violent rear-end impact inflicted by your insured.

Ms. Huang attended physical therapy at ATI Physical Therapy from November 26, 2025 through February 27, 2026, completing twenty-two (22) sessions. At her initial evaluation, she scored 46% on the Neck Disability Index (NDI), placing her in the "Significant Disability" category. She reported difficulty performing work duties, managing household tasks, engaging in sustained activities, and sleeping — all direct consequences of the injuries inflicted by your insured. Through diligent participation in rehabilitation, Ms. Huang improved to a 24% NDI score by the time of discharge on February 23, 2026.

Despite this improvement through conservative care, Ms. Huang's treating physicians at Momentum Spine & Joint have determined that she will require the following future interventional procedures:

- Bilateral Cervical Medial Branch Block (MBB), C4-C5 / C5-C6;
- Bilateral Cervical Radiofrequency Thermal Coagulation (RFTC), C4-C5 / C5-C6;
- Bilateral Lumbar Medial Branch Block (MBB), L4-L5 / L5-S1; and
- Bilateral Lumbar Radiofrequency Thermal Coagulation (RFTC), L4-L5 / L5-S1.

Current Medical Bills:

Plano Supreme Primary Care (Dr. Yinghui Liu, M.D.)	\$393.00
Momentum Spine & Joint	\$2,273.10
MRI Centers of Texas	\$5,188.00
Uptown Radiology Associates	\$1,190.00
ASP Cares Pharmacy	\$498.00
ATI Physical Therapy	\$16,016.48
TOTAL BILLS PAID & OUTSTANDING:	\$25,558.58

Future Medical Expenses:

Cervical Medial Branch Block — Bilateral C4-C5 / C5-C6	\$16,146.50
Cervical Radiofrequency Thermal Coagulation — Bilateral C4-C5/C5-C6	\$35,176.50
Lumbar Medial Branch Block — Bilateral L4-L5 / L5-S1	\$15,058.00
Lumbar Radiofrequency Thermal Coagulation — Bilateral L4-L5/L5-S1	\$34,592.50
TOTAL FUTURE MEDICAL EXPENSES:	\$100,973.50

Despite ongoing and appropriate medical care, **Ms. Huang continues to suffer persistent and debilitating pain in her neck and back**, which has significantly interfered with her ability to function normally in her daily life. Her injuries substantially limit her ability to **sit or stand for prolonged periods** without sharp pains in her neck and back. Even routine activities cause significant discomfort. **Ms. Huang is in constant pain due to these injuries caused by your insured, Melvin Louis Morrow.**

Beyond the physical effects, this collision has caused **substantial emotional and psychological distress**. Ms. Huang now experiences **heightened anxiety and stress when traveling in a vehicle**, particularly in heavy traffic. This anxiety is directly related to the trauma of the collision and further diminishes her quality of life.

It is **reasonably foreseeable** that Ms. Huang will continue to endure significant pain, functional limitations, and emotional hardship. Her future medical needs — including four interventional spine procedures totaling \$100,973.50 — and her non-economic damages will be substantial.

STOWER'S DEMAND

To be clear, the intent of this offer is to place Acuity, A Mutual Insurance Company in a *Stowers* situation as that term is commonly known within the insurance and litigation industry. Your insured should be made aware of the following:

1. TEXAS RECOGNIZES A CAUSE OF ACTION ON THE PART OF AN INSURED AGAINST THE INSURED'S LIABILITY INSURANCE CARRIER (in this case Acuity, A Mutual Insurance Company) IF THE INSURED IS DAMAGED BECAUSE OF THE CARRIER'S NEGLIGENCE IN REFUSING TO SETTLE CLAIMS AGAINST THE INSURED WITHIN POLICY LIMITS. *G.A. Stowers Furniture Co. v. American Indemnity Co.*, 15 S.W.2d 544, 547 (Tex. Comm'n App. 1929, holding approved).
2. The *Stowers* duty shifts the risk of an excess judgment (i.e., a judgment for more than the policy limits) from the insured to the insurer (i.e., Acuity, A Mutual Insurance Company).
3. An insured suffers an injury for *Stowers'* purposes if an excess judgment is awarded in this litigation.
4. If Acuity, A Mutual Insurance Company fails to settle with the Plaintiff (i.e., if Acuity fails to accept the demand stated in this letter), and if an excess judgment is awarded, Plaintiff may be entitled to recovery of actual damages, exemplary damages, interest, court costs, and attorney fees against Acuity, A Mutual Insurance Company.
5. Whether the insurer acted in "good faith" in deciding whether to accept or reject a demand such as the one stated in this letter is of no consequence to *Stowers* liability. The only consideration for *Stowers* liability is whether the insurer accepted a reasonable settlement offer within policy limits. Otherwise, the insurer will risk liability for an excess judgment against the insured.
6. Again, the insured, Melvin Louis Morrow, is being given a chance to protect his financial assets. If insured demands that Acuity, A Mutual Insurance Company settle for our offer, and Acuity refuses to do so, then the insured, Melvin Louis Morrow, will be able to shift the risk of any excess judgment to the insurance company. Thus, by demanding that his insurance company immediately settle for the offer made herein, the insured can ensure that Acuity will be responsible for paying any excess judgment. By making this offer, my client has given the insured, Melvin Louis Morrow, an opportunity to protect his individual assets. To protect these assets, he need only demand that the insurance company settle for our policy limits offer stated herein. Thereafter, any failure on the part of Acuity, A Mutual Insurance Company to do so would clearly be unreasonable given the gravity of the liability and damage facts stated above.

Again, I trust that the insured, Melvin Louis Morrow, will be explained the dangers of this case and the role he can play in protecting his personal assets from excess judgment. Certainly, the insured would probably be best served by Acuity, A Mutual Insurance Company forwarding this letter directly to him for review with a recommendation that he seek the advice of an attorney of his own choosing.

In exchange for the payment of the policy limit held by insured, Melvin Louis Morrow, Plaintiff will agree to provide an executed full and final release of all claims against the insured, Melvin Louis Morrow, arising out of the incident which is the basis of this claim.

If there is anything you feel you need to finalize your evaluation, please let me know immediately. We can certainly accommodate any reasonable request for information within the time in which you have to respond to this offer.

This demand expires at **5:00 p.m. (CST) July 2, 2026.**

Yours very truly,

JANICEK LAW FIRM, P.C.

/s/ Jacy Pawelek

Jacy Pawelek

JP/cm